



FUNERAL ASSURANCE REPORT

FOR THE FIRST QUARTER
ENDED 31 MARCH 2021



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This report relates to funeral assurance business written by funeral assurers only and does not relate to funeral assurance business written by life assurers. The funeral assurance business generated by life assurers is reported in the life assurance report.

Growth referred to in this report is nominal growth unless stated otherwise.

****The total figures reported here exclude Doves Life Assurance and will differ from those published in prior reports where comparisons are applicable.*

* Income statement figures were adjusted using year-on-year inflation of 240.60% reported for the month of March 2021. Source:

<https://www.rbz.co.zw/index.php/research/markets/inflation>

**Balance sheet figures were not adjusted due to the unavailability of quarterly inflation figures. Therefore, balance sheet figures are compared on a nominal basis.

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Abbreviations

GPW	Gross Premium Written
IPEC	Insurance and Pensions Commission
MCR	Minimum Capital Requirement
PA	Prescribed Assets/Securities as defined by the Insurance Act [Chapter 24:07]
S.I	Statutory Instrument
TCF	Treating Customers Fairly
ZICARP	Zimbabwe Integrated Capital and Risk Programme

1. Executive Summary

- 1.1. For the quarter under review, the number of registered and operating funeral assurers stood at eight (8).
- 1.2. The funeral assurance industry's inflation adjusted GPW increased by 158.28% from ZW\$22.03 million reported for the quarter ended 31 March 2020 to ZW\$56.90 million for the quarter ended 31 March 2021.
- 1.3. As at 31 March 2021, four (4) out of the eight (8) funeral assurers were compliant with the regulatory minimum capital requirement of ZW\$62.50 million as prescribed in Statutory Instrument 59 of 2020.
- 1.4. The Funeral Assurance sector's total assets increased by 98.38% from ZW\$867.90 million as at 31 December 2020 to ZW\$1.72 billion as at 31 March 2021.
- 1.5. As at 31 March 2021, all funeral assurers were not compliant with the minimum prescribed asset ratio with an average prescribed asset ratio of 0.11% against 10% which is stipulated in Statutory Instrument 206 of 2019.
- 1.6. The total amount invested in prescribed assets was ZW\$1.82 million against the required minimum amount of ZW\$172.17 million to comply with the minimum prescribed asset threshold of 10%.
- 1.7. Total technical liabilities for the funeral assurance sector increased by 11.66% from ZW\$221.92 million as at 31 December 2020 to ZW\$247.80 million as at 31 March 2021, with future policyholder benefits being the major component constituting 99.75% of technical liabilities.
- 1.8. Profit before tax for the funeral assurance industry increased by 430% in nominal terms from ZW\$4.37 million for the quarter ended 31 March 2020 to ZW\$23.17 million for the quarter ended 31 March 2021. In real terms the profit before tax increased by 55.62% from ZW\$4.37 million for the quarter ended 31 March 2020 to ZW\$6.80 million for the quarter ended 31 March 2021.
- 1.9. For the quarter ended 31 March 2021, two players dominated the funeral assurance sector in terms of GPW with a total market share of 80.82%. The remaining six (6) funeral assurers accounted for the difference of 19.18%.
- 1.10. None of the funeral assurers had any reinsurance arrangement(s) in place for the quarter ended 31 March 2021.

2. Introduction

- 2.1. The Insurance and Pensions Commission (IPEC) is a statutory body mandated with regulating, supervising and developing the insurance and pensions industry for the protection of policyholders and pension scheme members in Zimbabwe.
- 2.2. This report outlines the funeral assurance sector developments and IPEC's various activities in the funeral assurance sector consistent with its statutory mandate during the quarter ended 31 March 2021.

3. Terms of Reference

- 3.1. The activities of the Commission are guided by the following Acts and their Regulations:
- 3.1.1. Insurance and Pensions Commission Act [*Chapter 24:21*];
 - 3.1.2. Pension and Provident Funds Act [*Chapter 24:09*];
 - 3.1.3. Insurance Act [*Chapter 24:07*];
 - 3.1.4. Money Laundering and Proceeds of Crime Act [*Chapter 09:24*];
 - 3.1.5. Finance Act [*Chapter 23:04*];
 - 3.1.6. Public Entities and Corporate Governance Act [*Chapter 10:31*];
 - 3.1.7. Public Finance Management Act [*Chapter 22:19*]; and
 - 3.1.8. Public Procurement and Disposal of Public Assets Act [*Chapter 22:23*]

4. ECONOMIC DEVELOPMENTS

4.1. COVID-19 Impact on Global Economic Developments

It is one year since World Health Organization (WHO) declared COVID-19 a global pandemic. The accumulating death toll still remains a concern despite the growth in the vaccine rollout coverage aimed at reducing the number of infections as well as COVID-19 related complications. For the period between January and March 2021 COVID-19 confirmed cases recorded globally were 46 135 152 and associated deaths 935 353. The first quarter 2021 cases were, however, 5.9 percent lower than those recorded in the fourth quarter of 2020, an improvement attributed to vaccine administration.

A high level of uncertainty surrounds global output in the outlook. Economic recovery is expected to be uneven across jurisdictions depending on vaccination rollouts, policy support measures and the adjustment by sectors to new ways of doing business.

4.2. Covid-19 Impact on Businesses

The pandemic accelerated the digitalisation of both supervisory processes and the insurance business value chain. For regulators, key learnings from the Covid-19 crisis have been used to future-proof supervision. Consequently, going forward some supervisory processes shall be streamlined to ensure agility effectively backed by resilient digital infrastructure.

For the industry, Covid-19 presented an opportunity to leapfrog digitalisation. However, as with the law of unintended consequences the automation process resulted in increased operational efficiency and excess staff. Redundancy risk leading to calls for voluntary retrenchments in the industry have heightened with corporate restructuring and streamlining of operations. The Commission has noted that entities with clients offering tourism related activities have remained hamstrung due to the pandemic with some struggling to keep up with paying premiums. Others, in cross border transportation services have also reduced fleet size and retrenched work force. However, the full impact of the pandemic on the industry is still unfolding.

4.3. Global and Regional Economic Outlook

The International Monetary Fund projects global output to grow by 6.0% in 2021 from an estimated contraction of -3.3% in 2020, before moderating to 4.4% in 2022. The growth forecasts are underpinned by additional fiscal support in large economies such as the United States, adaptation to the new ways of conducting business, and the anticipated vaccine-powered recovery. The World Bank's world output forecast for 2021 is slightly lower at 4% and is expected to moderate to 3.8% in 2022, weighed down by the pandemic's lasting damage to potential growth.

Advanced economies are expected to grow by 5.1% in 2021, a 0.8 percentage point's improvement from IMF's January 2021 projection of 4.3%. The expected growth is a reflection of business adapting to the challenging health situation through resorting to teleworking and improving COVID-19 containment measures.

GDP growth for emerging markets and developing economies (EMDEs) is projected to expand by 6.7% in 2021 (IMF 2021). China remains the fastest growing economy and is expected to register a growth rate of 8.4% in 2021 and 5.6% in 2022, supported by strong policies and resilient exports. The global economic outlook projections are summarised in Table 1.

Table 1: World Economic Outlook Projections (Percentage Change)

	2020	2021*	2022*
World Output	-3.3	6.0	4.4
Advanced Economies	-4.7	5.1	3.6
USA	-3.5	6.4	3.5
Euro Area	-6.6	4.4	3.8
Emerging Markets and Developing countries	-2.2	6.7	5.0
China	2.3	8.4	5.6
Sub-Saharan Africa	-1.9	3.4	4.0
Nigeria	-1.8	2.5	2.3
South Africa	-7.0	3.1	2.0

Source: April 2021 World Economic Outlook, IMF. * Projections

The Sub-Saharan Africa (SSA) region is projected to grow by 3.4% in 2021 (IMF 2021). The World Bank sets the region's growth at between 2.3% and 3.4% in 2021 supported by improved exports and commodity prices, along with a recovery in both private consumption and investment. The episodes of virus resurgence and mutations may undermine the growth prospects for the SSA region in 2021.

4.4. Domestic Economic Outlook

The Zimbabwean economy is expected to recover from a projected contraction of 4.5% in 2020 to a growth of 7.4% in 2021 and 5.5% in 2022. All sectors of the economy are expected to register positive growth in 2021, with the agriculture and mining sectors expected to record the highest growth rates of about 11% each, tourism (6.8%), and electricity (10%) Financial, banking and insurance activities (7.1%), among the major sectors. Economic activity is expected to improve in 2022, with GDP growing at around 5%, as consistent implementation of the National Development Strategy 1 reforms start bearing fruit.

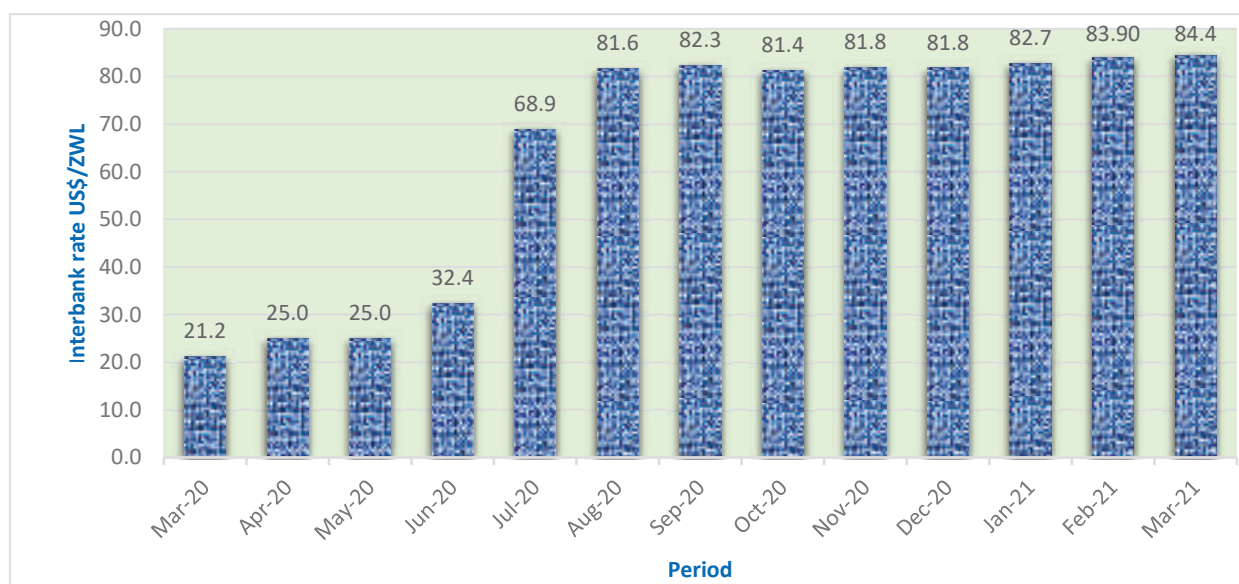
The IMF and World Bank economic growth projections for the country in 2021 are conservatively set at 3.1% and 2.9% respectively and that of 2022 at 4.0% and 3.1%.

4.5. Exchange Rate Movements

During the first quarter of 2021 the Zimbabwean dollar depreciated by 3.2% from an interbank rate of ZW\$81.8 as at 1st of January 2021 to ZW\$84.4 as at 31 March 2021. The weakening of local currency emanated from high foreign exchange demand, as businesses were gearing for re-stocking anticipating the opening up of the economy. However, of concern has been the diverging alternative market premium, which has been built into the pricing structures. Accordingly, there are still some headwinds as repricing of claims is marked at the parallel market and not at the official rate.

Figure 1 shows the interbank exchange rate movements during the period March 2020 to March 2021.

Figure 1: Interbank Exchange Rate March 2020 to March 2021 (US\$/ZWL) – End of Period



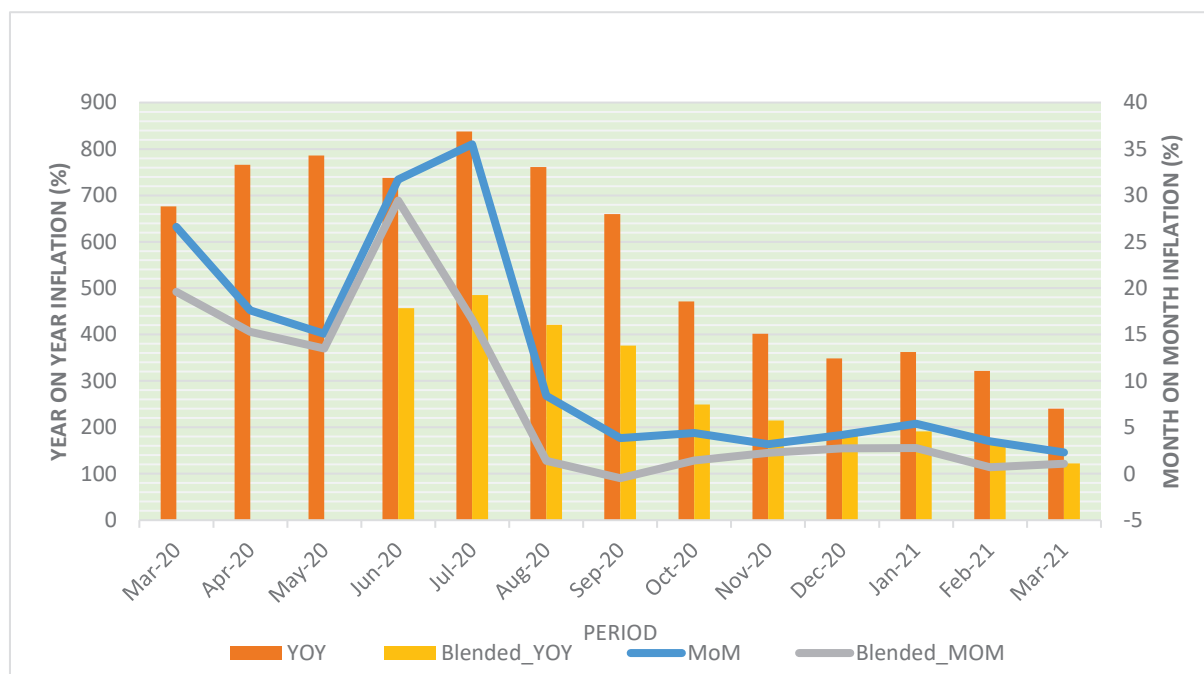
Source: Reserve Bank of Zimbabwe

4.6. Inflation Developments

Annual inflation in January 2021 increased to 362.6% from the December 2020 figure of 348.6% mainly attributable to adjustments of electricity, fuel and rates at the beginning of the year. However, stability was maintained in the rest of the

quarter as inflation decreased to 240.6% in March 2021. Similarly, the annual blended inflation rate decreased from 191.5% in January 2021, to 122.3% in March 2021¹. The changes in inflation rates for the period of March 2020 to March 2021 are illustrated in Figure 2.

Figure 2: Inflation profile March 2020 to March 2021.



Source: Zimbabwe National Statistics Agency

Month on month inflation rate declined from 5.4% in January 2021 to 3.5% in March 2021. Notable declines were registered in clothing and footwear from 104.2% in January 2021 to 103.21% in March 2021 and education from 116.0% to 113.70% over the same period.

Whilst the decline in inflation rate is commendable as it is assisting in boosting business and consumer confidence, more still needs to be done to bring down inflation to a single digit level (below 10%) as projected, by December 2021.

¹ Annual blended CPI inflation combines the average changes in price of goods and services sold in the two main currencies in circulation, namely the ZWL and USD.

4.7. Zimbabwe Stock Exchange and Victoria Falls Stock Exchange Developments

Equity market highlights

Local equities were bullish in the first quarter of 2021, as investors continue with hedging activities seeking a safe haven for their wealth in light of limited investment options. The All -Share index went up by 68.11%, from 2,636.34 points recorded in December 2020 resulting in a real return of 50.8% after factoring quarterly inflation. Major indices recorded positive growth in the first quarter of 2021 with the Top 10, Medium Cap and Small Cap indices gaining 54.37%, 90.98% and 297.2% to close at 2,580.33 points, 10,487.48 points and 47,327.53 points, respectively. The quarter under review also witnessed a mining index gain of 33.82% to close at 5,532.09 points. However, the value of shares traded decreased by 16.17% in the first quarter of 2021 compared to the fourth quarter of 2020 and market turnover declined by 7.66% during the quarter under review. Table 2 illustrate the key stock market development indicators in the fourth quarter of 2020 and first quarter of 2021.

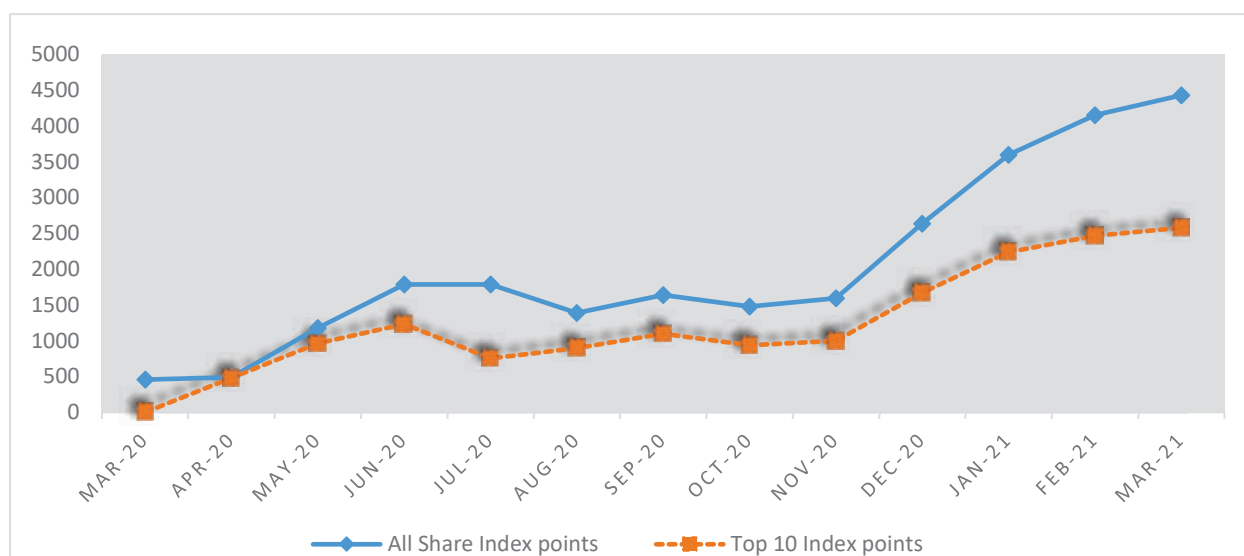
Table 2: Key stock market development indicators

ZSE Indicator	Dec-2020	Mar-2021	Change (%)
All share index (points)	2636.34	4432.50	68.11
Top 10 Index (points)	1671.47	2580.33	54.37
Medium Cap Index (points)	5491.09	10487.48	90.98
Small Cap Index (points)	11914.14	47327.53	297.2
Mining Index (points)	4134.09	5532.09	33.82
Volume of shares traded (ZW\$ million)	33.27	27.89	-16.17
Market turnover(ZW\$m)	501.71	463.29	-7.66

Source: Zimbabwe Stock Exchange (ZSE)

On an annual basis, all the stock market indices recorded phenomenal gains, riding on the positive sentiments, as shown on Figure 3.

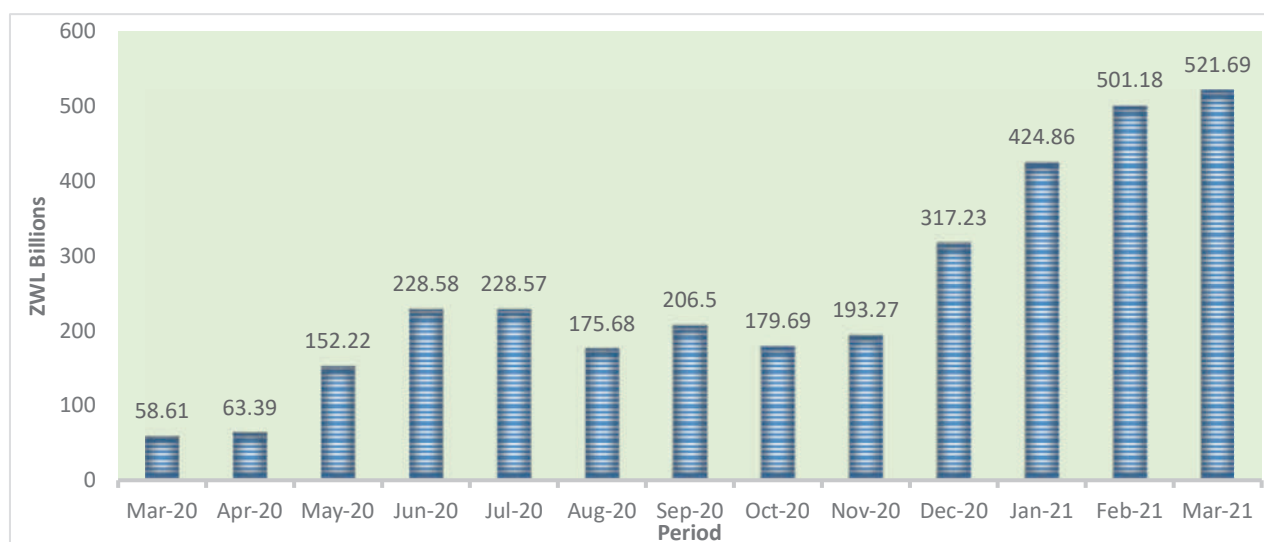
Figure 3: Zimbabwe Stock Exchange All Share and Top 10 Indices



Source: Zimbabwe Stock Exchange

Market capitalisation level further improved in the first quarter of 2021. Following heightened speculative behaviour, the local bourse gained ZW\$204.46 billion, or 64.45% worth of capitalization to ZW\$521.69 billion during the first quarter of 2021, from ZW\$317.23 billion recorded in December 2020. Figure 4 shows market capitalization developments for the period 26 March 2020 to 26 March 2021.

Figure 4: Daily Market Capitalisation in ZW\$ Billions from March 2020 to March 2021



Source: Zimbabwe Stock Exchange

Victoria Falls Stock Exchange (VFEX)

Since the bourse was launched on the 23rd of October 2020, Seedco International is still the only counter listed on the Victoria Falls Stock Exchange. There were no trades on the Victoria Falls Stock Exchange (VFEX) in January and February of 2021. There were US\$2,686 worth of trades in Seedco International on the Victoria Falls Stock Exchange (VFEX) in March 2021 resulting in Seedco International's share price going up by 11.1% to US\$0.2.

4.8. Money Market Developments

Savings and Deposit Interest Rates

Real interest rates remained negative during the quarter under review, following the high annual inflation rate, which ended the quarter at 240.6% against nominal interest below 20%.

The annual nominal savings deposit rates registered declines in the quarter from maximum of 4.69% as at 29 January 2021 to 4.04% as at 26 March 2021, translating to an end of quarter real return of -69%. Marginal improvements were however, recorded in the One-month and Three-month nominal deposit rates in the quarter. One-month nominal deposit rates improved from a maximum of 9.55% end of December 2020 to 10.83% at 26 March 2021, resulting in a negative real return of 67%. The three-month nominal deposit rates increased slightly from a maximum of 11.15% end of January to 11.80% end of March, resulting in a real return of -67% at the end of the quarter.

5 Regulatory Developments for the Period Ending 31 March 2021

Circulars and Statutory Instruments

5.1 The Commission issued two Statutory Instruments and 8 Circulars to the insurance industry as shown in table 1 below.

Table 1: Statutory Instruments and Circulars issued

Statutory Instruments issued

Statutory Instrument 85 of 2021 – Revision of fees payable

Statutory Instrument 86 of 2021 - Revision of levies payable

Circulars issued

Circular 1 of 2021 - Provision of necessary services during lockdown.

Circular 2 of 2021 - Delivery of electronic mail to IPEC

Circular 3 of 2021 - Request of information on foreign currency

Denominated business

Circular 4 of 2021 - Request for currency reforms compensation frameworks proposals.

Circular 5 of 2021 - 2021 Global Money Week Commemorations

Circular 8 of 2021 - Issuance of the treating customers fairly framework

Circular 8 of 2021 - Submission of monthly management accounts by Funeral assurers to the Commission

Circular 10 of 2021- Deadline extension for the submission of 2020 Audited Financial Statements and Actuarial Valuation Reports.

Capacitation of the industry

2.2 In an effort to capacitate the insurance industry, a workshop was held from 13 to 14 January 2021 to train relevant personnel on E filing of returns. This was meant to ensure that going forward all quarterly returns are filed online. A workshop was also conducted on the launch of Own Risk and Solvency Assessment (ORSA) framework on 15 March 2021, which is one of the important frameworks under the Zimbabwe Integrated Capital and Risk Program (ZICARP)

International engagements

2.3 The Commission actively participated in activities of regional and international bodies such as the International Association of Insurance Supervisors. These include participation in surveys, meetings, workshops and training. The Commission also participated in workshops and trainings offered by Toronto Centre.

6. Performance in terms of Business Written.

- 6.1. The funeral assurance sector's inflation adjusted GPW increased by 158.28% from ZW\$22.03 million for the quarter ended 31 March 2020 to ZW\$56.90 million for the quarter ended 31 March 2021.
- 6.2. In nominal terms, new business accounted for the major increase in GPW increasing by 349% from ZW\$956, 198 in March 2020 to ZW\$4.3 million reported for the quarter ended 31 March 2020.
- 6.3. The increase in GPW was also on account of premium increases as funeral assurers sought to align both the premiums and policyholder benefits to the dynamic macroeconomic environment in response to inflation trends.
- 6.4. All the players recorded significant growth of above 100% in GPW, and none of the players recorded negative growth.
- 6.5. The sector continues to face intense pressure and competition from life assurers writing funeral business. For the quarter ended 31 March 2021, life assurers wrote inflation adjusted funeral assurance business worth ZW\$852.56 million which was fourteen times more than the ZW\$56.90 million written by the dedicated funeral players.
- 6.6. A detailed breakdown of GPW per funeral assurer in terms of recurring and new business is shown in Appendix 4. A summary of the GPW per company is shown in Table 3 below.



Table 3: Gross Premium Written Per Company (ZW\$000)

Name of Company	Mar-20	Mar-21	Mar-21 Inflation Adjusted	Change Inflation Adjusted	- Nominal Change (%)
First Funeral	5,041.83	42,615.55	12,511.91	148.16%	745.24%
Foundation	953.93	8,256.13	2,424.00	154.11%	765.49%
Moonlight	13,549.81	114,007.52	33,472.55	147.03%	741.40%
Orchid	31.39	327.44	96.14	206.29%	943.21%
Passion	481.54	8,643.22	2,537.65	426.98%	1694.90%
Ruvimbo	521.82	5,526.05	1,622.45	210.92%	959.00%
Sunset	64.33	1,197.27	351.52	446.44%	1761.19%
Vineyard	1,385.05	13,223.00	3,882.27	180.30%	854.70%
TOTAL	22,029.69	193,796.19	56,898.47	158.28%	779.70%

7. Capitalisation

7.1. As at 31 March 2021 four (4) out of the eight (8) funeral assurers were compliant with the regulatory minimum capital requirement of ZW\$62.50 million as prescribed by Statutory Instrument 59 of 2020.

7.2. The Commission is instituting a raft of measures to cause compliance by the non-compliant entities.

7.3. The Commission continues to urge players to adhere to their capitalisation compliance roadmaps to ensure they are capitalised at all times.

7.4. As at 31 March 2021, the capital positions for funeral assurers ranged from ZW\$5.32 million to ZW\$204.36 million as shown in Table 4 below.

Table 4: Capitalisation Trend Levels

Name of Company	Mar-20 (ZWL\$000)	Jun-20 (ZWL\$000)	Sept-20 (ZWL\$000)	Dec-20 (ZWL\$000)	Mar-21 (ZWL\$000)
First Funeral	19, 294.66	51, 157.52	71,839.40	155,996.11	157,277.77
Foundation	58, 132.99	75, 978.70	54,176.80	54,498.69	74,966.11
Moonlight	275, 392.69	27, 993.59	67,506.00	91,655.50	764,745.18
Orchid	9, 649.26	5, 984.12	5,980.13	5,851.55	5,321.63
Passion	2, 539.83	3, 687.27	3,755.80	6,154.08	6,487.44
Ruvimbo	14 ,042.57	38, 688.05	62,141.92	56,230.64	58,466.03
Sunset	96, 052.76	Did not Submit	103,965.22	101,255.55	204,356.29
Vineyard	30, 065.73	57, 716.10	53,171.59	56,566.74	58,181.55
Total	505, 170.49	261, 655.34	422,536.86	528,208.85	1,329,801.99

Key

	Undercapitalised
	Capitalised

8. Asset Quality

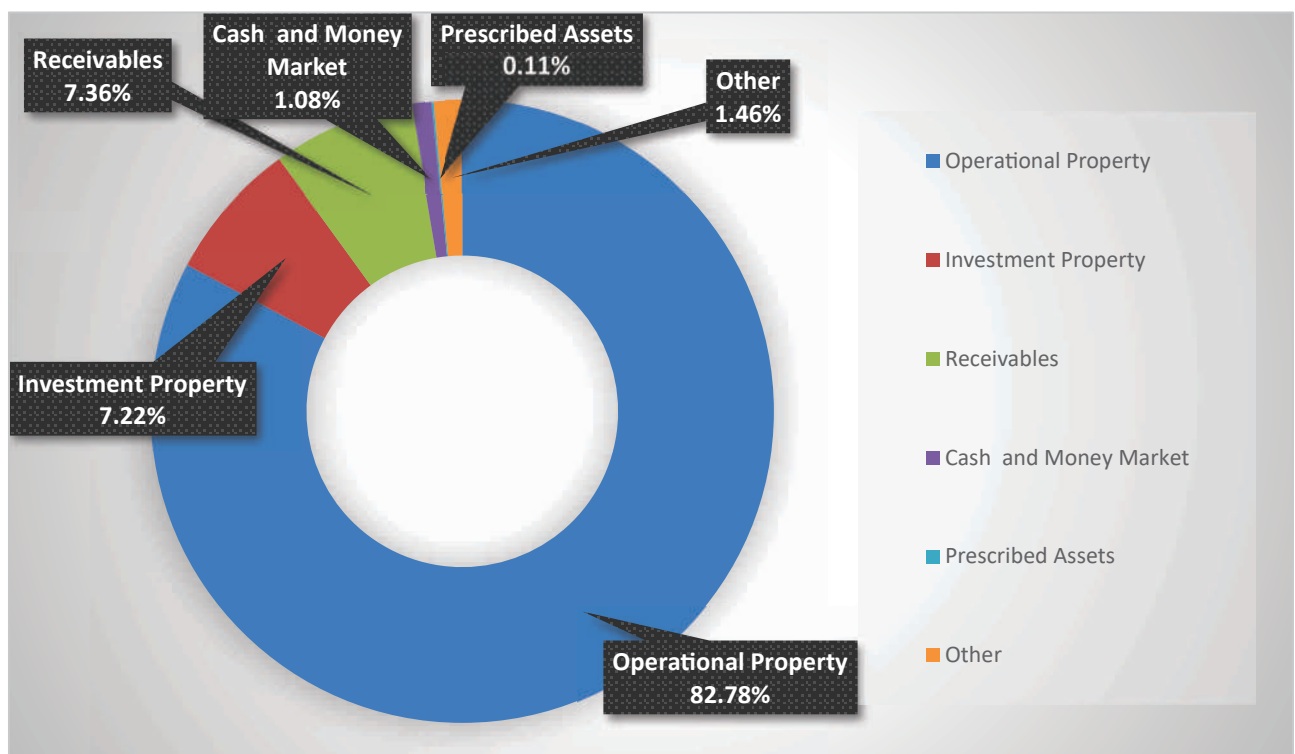
- 8.1. The sector's total assets increased by 98.38% from ZW\$867.90 million as at 31 December 2020 to ZW\$1.72 billion as at 31 March 2021.
- 8.2. The positive movement in assets was due to property revaluations, which saw fixed property values increasing by 83.13% from ZW\$778.25 million as at 31 December 2020 to ZW\$1.43 billion as at 31 March 2021.
- 8.3. The asset base for the funeral assurance sector remains concentrated in immovable property consisting of 82.78% of total assets.
- 8.4. This indicates high concentration of investments in assets used for funeral service provision. This may be one of the reasons why the sector has managed to stay afloat during the increase in Covid-19 related death claims.

8.5. The Commission continues to implore sector players to be cautious and hold assets that match their liability profiles in view of the policies with cash benefit components.

8.6. Asset classes such as equities, cash, and money market investments were held in very small proportions relative to the overall asset portfolio.

8.7. The distribution of assets for the funeral assurance sector is shown in Figure 5 below.

Figure 5: Breakdown of Assets



8.8. As at 31 March 2021, all funeral assurers were non-compliant with the minimum prescribed asset ratio of 10% as stipulated by Statutory Instrument 206 of 2019. Prescribed asset investments were insignificant as they accounted for only 0.11% of the total asset portfolio.

8.9. The total amount invested in prescribed assets investments was ZW\$1.82 million against a minimum amount of ZW\$172.17 million for the sector to comply with the 10% minimum prescribed asset threshold.

8.10. The Commission continues to monitor funeral assurers' compliance roadmaps through submission of monthly updates.

8.11. The Commission has constituted a Prescribed Asset Investments Working Group to come up with a prescribed asset framework that will take into consideration industry needs to ensure preservation of value to both the investors and policyholder funds.

8.12. The Commission has also called upon the industry to come up with projects that can be accorded prescribed asset status as a way of improving their compliance.

8.13. Table 5 below shows the compliance levels with prescribed assets for each funeral assurer.

Table 5: Prescribed Assets Levels as at 31 March 2021

Company name	PA Investments	Total assets	PA ratio	Amount required to be compliant	Variance in compliance
Orchid	-	12,371.32	0.00%	1,237.13	10.00%
First Funeral	500.00	171,032.00	0.29%	17,103.20	9.71%
Foundations	61.58	124,730.55	0.05%	12,473.06	9.95%
Moonlight	1,008.08	1,032,421.40	0.10%	103,242.14	9.90%
Passion	28.51	17,312.96	0.16%	1,731.30	9.84%
Ruvimbo	182.29	59,533.71	0.31%	5,953.37	9.69%
Sunset	2.17	205,449.84	0.00%	20,544.98	10.00%
Vineyard	39.20	98,880.84	0.04%	9,888.08	9.96%
Total	1,821.82	1,721,732.62	0.11%	172,173.26	9.89%



Table 6 below shows the key financial highlights for the funeral assurance sector as at 31 March 2021.

Table 6: Key Performance Indicators

Key Performance Indicator	Funeral Assurers				
	Mar-20	Mar-21	Change	Mar-21 Inflation Adjusted	Change - Inflation Adjusted
Funeral Assurers GWP (ZW\$000)	22,029.69	193,796.19	780%	56,898.47	158%
Total Gross Claims (ZW\$000)	7,325.53	40,203.56	449%	11,803.75	61%
Operating and Management expenses (ZW\$000)	12,744.76	113,208.32	788%	33,237.91	161%
Commissions (ZW\$000)	1,547.94	14,782.61	855%	4,340.17	180%
Total Costs(ZW\$000)	21,618.23	168,194.49	678%	49,381.82	128%
Profit Before interest tax (ZW\$000)	4,371.95	23,173.18	430%	6,803.63	56%
Ratio Analysis	Mar-20	Mar-21	Change		
Expense Ratio	65%	66%	1%		
Claims Ratio	33%	21%	-13%		
Combined Ratio	98%	87%	-11%		
	Dec-20	Mar-21	Change		
Total Assets (ZW\$000)	867,898.17	1,721,732.62	0.98		
Total Liabilities (ZW\$000)	339,689.32	393,187.46	0.16		
Capital - Net Assets (ZW\$000)	528,208.85	1,328,545.16	1.52		
Capital to liability Ratio	155%	338%	182%		
Prescribed Assets (ZW\$000)	205.83	1,821.82	7.85		
Prescribed Asset Ratio (%)	0.02%	0.11%	0.08%		

9. Reassurance

- 9.1. All funeral assurers had no reinsurance arrangements in place for the quarter ended 31 March 2021, resulting on a reinsurance ratio of 0%.
- 9.2. The Commission continues to emphasise the need for funeral assurers to have reinsurance arrangements so as to effectively manage their risk exposures. In addition to increasing the amount of available capital,

reassurance arrangements increase the capacity of the funeral assurers to write more business.

- 9.3. The need for reassurance is more apparent given the strain on the sector balance sheet on the back of high claims experience, as a result of the current Covid-19 pandemic.

10. Actuarial Matters

- 10.1. Total technical liabilities for the funeral assurance sector increased by 11.66% from ZW\$221.92 million as at 31 December 2020 to ZW\$247.80 million as at 31 March 2021, with future policyholder benefits being the major component constituting 99.77% of technical liabilities.
- 10.2. The remaining 0.23% was composed of unearned premium reserve, incurred but not reported losses and gross outstanding claims.
- 10.3. Increase in technical liabilities has been low as compared to the increase in premiums and asset values during the period under review. This is indicative of continued mismatch in the asset-liability profiling of funeral assurers' balance sheet.
- 10.4. It is the Commission's conviction that the development of mortality tables currently underway will improve reserving as well as pricing of the products by the industry.
- 10.5. The Guidance Paper was also issued with the aim of addressing the shortcomings identified with regards to actuarial liabilities. Thus, all funeral assurers are urged to comply with this guidance as this will assist in addressing the issues highlighted above.

11. Earnings

- 11.1. For the period under review, six (6) funeral assurers reported a positive profit before interest and tax while the remaining three (3) reported losses.

- 11.2. However, the reported losses experienced by the three funeral assurers were insignificant as the overall sector reported an absolute increase of 430% in profit before interest and tax from ZW\$4.37 million for the quarter ended 31 March 2020 to ZW\$23.17 million for the quarter ended 31 March 2021.
- 11.3. The increase in profit before interest and tax was on account of a notable increase in nominal GPW as players reviewed premiums in line with the dynamic macroeconomic environment.
- 11.4. The industry's average expense ratio for the quarter ended 31 March 2021 was 58.42%, which implies that for every dollar of premium received fifty-eight cents was spent on management and operational expenses.
- 11.5. This ratio continues to be unsustainably high in the long run. All funeral assurers are reminded of the need to rationalize their operational and management expenses to sustainable levels.
- 11.6. The average claims ratio and combined ratio stood at 21.20% and 86.79% respectively.
- 11.7. A summary of the claims incurred, operating expenses and total costs for each funeral assurer for the quarter ended 31 March 2021, is shown in Appendix A5.

12. Liquidity

- 12.1. The funeral assurance sector reported an average current ratio of 123.21% indicating insufficient current assets to cover short-term contractual obligations.
- 12.2. The Commission urges funeral assurers to continuously monitor their investment portfolios so as to match their assets to liabilities.
- 12.3. Asset- liability mismatch may result in players holding either inadequate liquid assets to settle claims or too much liquid assets thereby foregoing investment opportunities that may yield positive returns.

12.4. Funeral assurers are encouraged to invest in appropriate short-term assets that can be easily liquidated to allow them to meet their statutory short-term debts, operational expenses and fulfil their claim obligations.

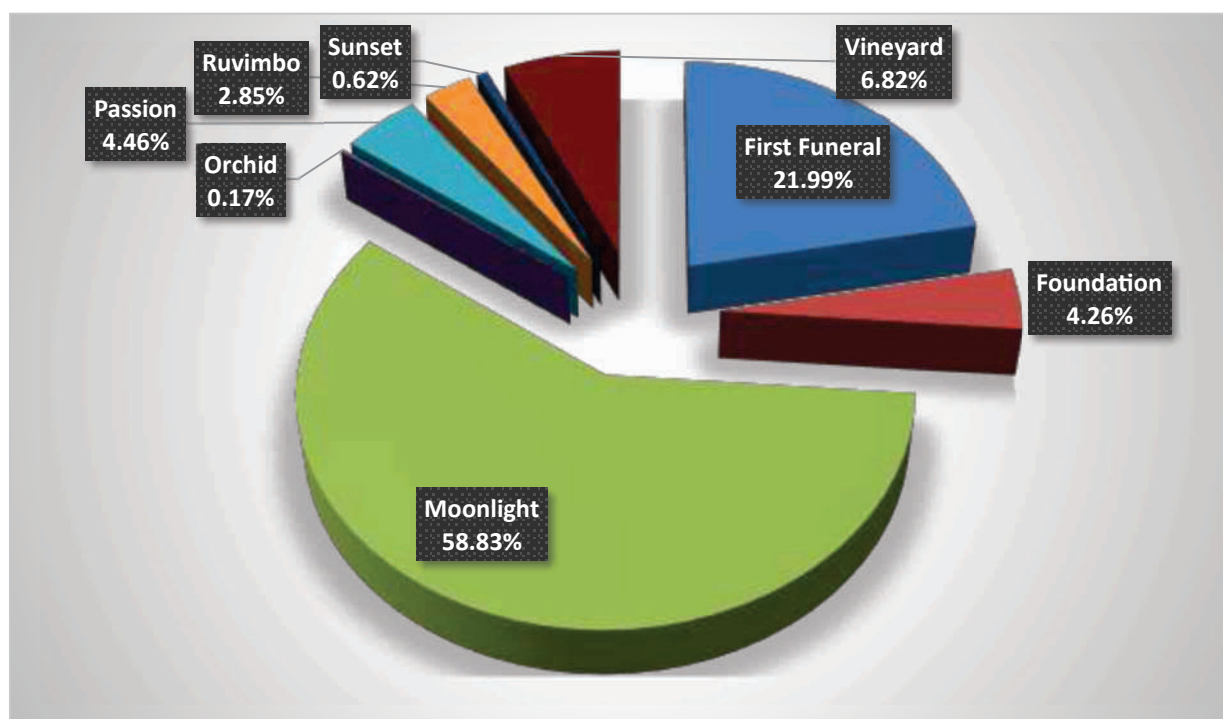
13. Market Share

13.1. For the quarter ended 31 March 2021, two players dominated the funeral assurance sector in terms of GPW with a total market share of 80.82%. The remaining six (6) funeral assurers accounted for the remainder of 19.18%.

13.2. As highlighted in the previous quarterly report, funeral assurers are challenged to address the industry shortcomings so that they avoid being crowded out by life assurers.

13.3. Distribution of the market share in-terms of GPW for the eight (8) funeral assurers is shown in Figure 6 below.

Figure 6: Market Share in-terms of GPW as at 31 March 2021



14. Funeral Assurance Sector Complaints

14.1. The Commission handled five (5) complaints during the quarter under review, all of which were resolved.

14.2. The major source of complaints (60%) emanated from alleged non-payment of anticipated benefits. This was mainly attributed to poor communication between funeral assurers and policyholders. The Commission urges funeral assurers to communicate clearly with their customers while policyholders are encouraged to read the terms and conditions of their policies.

14.3. The other source of complaints (40%) was rejection of claims owing to policy lapses. The Commission encourages funeral assurers to engage their clients regularly, particularly when premiums are reviewed upwards so that policyholders have enough information to make informed decisions.

14.4. The Commission urges funeral assurers to keep their customers informed of the status of their policies to avoid unintended lapses.

15. Conclusion

15.1. The funeral assurance industry players should endeavor to comply with applicable laws and regulations particularly on Minimum Capital Requirements and prescribed asset ratios.

15.2. The Commission urges funeral assurers to devise strategies to withstand the continued pressure and competition from life assurers so that they remain relevant.

15.3. Funeral assurers are encouraged to have reinsurance arrangements in place as a risk management tool to manage loss experiences, increase and maintain healthy solvency positions.

15.4. The sector players should endeavour to streamline costs to levels below 20% as dictated by international best practice.

15.5. There is need for funeral assurers to continuously review their reserves in order to align them with liabilities and devise appropriate asset-liability matching profiles.

15.6. The Commission urges funeral assurers to be innovative and come up with micro insurance products to tap into the largely underserved informal market and low-income segments of the population.



APPENDIX A1. KEY PERFORMANCE INDICATORS FOR FUNERAL ASSURANCE COMPANIES									
	Orchid	First Funeral	Foundation	Moonlight	Passion	Ruvimbo	Sunset	Vineyard	Total/ Average
Key Performance Indicator									
Capital Adequacy									
Capital Position i.e Net Assets (\$ 000)	5,322	157,278	74,966	764,745	6,487	58,466	203,099	58,182	1,328,545
Capital Coverage Ratio (CCR)	14.19%	419.41%	199.91%	2039.32%	17.30%	155.91%	541.60%	155.15%	442.85%
Equity/Total Assets Ratio	43.02%	91.96%	60.10%	74.07%	37.47%	98.21%	98.86%	58.84%	77.16%
Solvency Margin	78.59%	1307.79%	155.57%	441.52%	288.32%	6040.20%	20226.81%	1721.53%	536.15%
Asset Quality									
Total Assets (\$ 000)	12,371	171,032	124,731	1,032,421	17,313	59,534	205,450	98,881	1,721,733
Investments to Total Assets	24.25%	51.29%	6.91%	0.10%	7.59%	34.39%	0.36%	6.47%	7.51%
Non-Interest Generating Assets/Total Assets	75.54%	46.45%	92.40%	99.57%	57.16%	60.01%	99.25%	91.93%	91.33%
Fixed Assets/Total Assets	74.57%	40.36%	88.90%	89.38%	0.00%	51.46%	98.66%	80.87%	82.78%
Prescribed Assets Ratio	0.00%	0.29%	0.05%	0.10%	0.16%	0.31%	0.00%	0.04%	0.11%
Premium Debtors/Gross Premium	18.97%	20.96%	11.28%	89.46%	4.85%	91.03%	100.00%	61.41%	65.37%
Premium Debtors/Total Assets	0.50%	5.22%	0.75%	9.88%	2.42%	8.45%	0.58%	8.21%	7.36%
Reinsurance									
Risk Retention Ratio	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%
Actuarial									
UPR	67	0	0	0	0	0	0	0	67
Gross Outstanding Claims	0	350	0	110	0	0	0	0	460
Future Policyholder Benefits	6705.11638	11676.259	48188.33807	173096.9	2250.10393	967.949	1004.11032	3281.90824	247170.6849
Total Assets/Total Reserves	182.69%	1422.15%	258.84%	596.06%	769.43%	6150.50%	20460.88%	2925.78%	694.82%
Earnings									
Profit After Tax (000)	-370.31	1,281.66	668.91	16,166.30	2,053.03	2,108.86	(643.88)	1,895.89	23,160.45
Return on Equity	-6.96%	0.81%	0.89%	2.11%	31.65%	3.61%	-0.32%	3.26%	1.74%
Return on Assets	-2.99%	0.75%	0.54%	1.57%	11.86%	3.54%	-0.31%	1.92%	1.35%
Loss(Claims) Ratio	0.00%	32.27%	16.77%	17.36%	30.00%	6.98%	2.87%	26.00%	21.20%
Net Commission Ratio	0.00%	29.49%	4.55%	1.86%	0.00%	0.00%	9.59%	4.32%	7.79%
Net Expense Ratio	55.28%	33.77%	72.69%	70.73%	28.33%	46.48%	62.84%	47.10%	58.42%
Combined Ratio	55.28%	90.90%	94.00%	89.95%	58.33%	52.83%	75.30%	76.44%	86.79%
Liquidity									
Current ratio	1131.95%	816.83%	334.61%	115.05%	186.00%	5432.49%	238.12%	42.61%	123%
Acid Test ratio									
Liquid assets as a percentage of total assets	24.46%	1.99%	0.72%	0.33%	34.97%	0.55%	0.75%	0.78%	1.13%
Market Shares									
Market Share Based on GPW	0.17%	21.99%	4.26%	58.83%	4.46%	2.85%	0.62%	6.82%	100%
Market Share Based on NPW	0.17%	21.99%	4.26%	58.83%	4.46%	2.85%	0.62%	6.82%	100%
Market Share Based on Total Assets	0.72%	9.93%	7.24%	59.96%	1.01%	3.46%	11.93%	5.74%	100%

APPENDIX A2. STATEMENT OF COMPREHENSIVE INCOME FOR FUNERAL ASSURERS FOR THE QUARTER ENDED 31 MAR 2021 (000)									
	Orchid	First Funeral	Foundation	Moonlight	Passion	Ruvimbo	Sunset	Vineyard	Total
Gross Written Premiums	327.44	42,615.55	8,256.13	114,007.52	8,643.22	5,526.05	1,197.27	13,223.00	193,796.19
Reinsurance Premiums			-						-
Net Written Premiums	327.44	42,615.55	8,256.13	114,007.52	8,643.22	5,526.05	1,197.27	13,223.00	193,796.19
Increase/(Decrease) in UPR	-	3,196.97	-	-	-	497.90	-	424.37	4,119.23
Net Earned Premiums	327.44	39,418.59	8,256.13	114,007.52	8,643.22	5,028.16	1,197.27	12,798.63	189,676.96
Provision for Future Claims	-	-	822.05	110.36	-	-	-	-	932.41
Outstanding claims	-	-	-	-	-	-	-	-	-
Paid Claims	-	12,720.15	562.35	19,683.29	2,592.97	350.83	34.41	3,327.17	39,271.16
Net Claims	-	12,720.15	1,384.39	19,793.65	2,592.97	350.83	34.41	3,327.17	40,203.56
Net Commissions and Fees	-	11,624.41	375.26	2,115.46	-	-	114.84	552.65	14,782.61
Technical Result	327.44	15,074.03	6,496.47	92,098.42	6,050.26	4,677.33	1,048.02	8,918.82	134,690.78
Operating/Administration Expenses	-	-	-	39,512.18	2,449.01	-	752.34	5,943.34	48,656.87
Underwriting Profit/(Loss)	327.44	15,074.03	6,496.47	52,586.24	3,601.25	4,677.33	295.68	2,975.48	86,033.91
Management expenses	181.00	14,390.94	6,001.07	41,124.92	-	2,568.47	-	285.05	64,551.45
Investment Income	-	-	-	0.86	-	-	-	-	0.86
Unrealised Gains/Losses	-	-	-	-	-	-	-	-	-
Other expenses	516.76	-	-	2,466.49	1,728.64	-	1,035.44	809.18	6,556.52
Other Income	-	604.80	180.00	7,170.61	180.42	-	95.89	14.65	8,246.37
Profit Before Interest and Tax	(370.31)	1,287.89	675.41	16,166.30	2,053.03	2,108.86	(643.88)	1,895.89	23,173.18
Taxation	-	-	6.50	-	-	-	-	-	6.50
Interest Payments	-	6.23	-	-	-	-	-	-	-
Profit After Tax and Interest	(370.31)	1,281.66	668.91	16,166.30	2,053.03	2,108.86	(643.88)	1,895.89	23,160.45
Transfer to policyholders funds									-
Dividends									-
Retained Income	(370.31)	1,281.66	668.91	16,166.30	2,053.03	2,108.86	(643.88)	1,895.89	23,160.45

APPENDIX A3. STATEMENT OF FINANCIAL POSITION FOR FUNERAL ASSURERS AS AT 31 MAR 2021 (000)									
	Orchid	First Funeral	Foundation	Moonlight	Passion	Ruvimbo	Sunset	Vineyard	Total
ASSETS									
Non-Current Assets									
Property and Equipment	9,225.48	69,030.01	110,881.14	922,730.94	-	30,638.63	202702.0711	79,960.13	1,425,168.39
Investment Property	-	87,665.02	8,568.00	1,008.08	640.00	20,292.22	-	6,150.00	124,323.32
Investments in Securities	-	35.48	-	-	673.35	182.29	6.52194	244.58	1,142.22
Intercompany Investments	-	-	-	-	-	-	-	-	-
Other Non-Current Assets	-	500.00	7.66	-	49.56	3,002.92	-	815.92	4,376.06
Total Non-Current Assets	9,225.48	157,230.51	119,456.79	923,739.02	1,362.91	54,116.05	202,708.59	87,170.63	1,555,009.99
Technical Assets									
Reinsurers' Share of O/S Claims	-	-	-	-	-	-	-	-	-
Deferred Acquisition Cost (DAC)	-	-	-	-	-	-	-	-	-
Total Technical Assets	-	-	-	-	-	-	-	-	-
Current Assets									
Cash & cash equivalents	26.66	3,381.99	843.73	3,429.86	6,054.46	329.05	801.51	769.26	15,636.53
Short Term Investments	2,999.73	13.48	53.92	-	-	-	742.46	-	3,809.60
Prescribed Assets	-	-	-	-	-	-	-	-	-
Inventory and Other Assets	57.36	1,475.13	3,444.77	3,262.63	9,476.74	58.50	-	2,821.00	20,596.12
Accounts Receivables	62.10	8,930.89	931.33	101,989.89	418.85	5,030.10	1,197.27	8,119.95	126,680.39
Total Liquid Assets	3,026.39	3,395.47	897.66	3,429.86	6,054.46	329.05	1,543.98	769.26	19,446.13
Total Assets	12,371.32	171,032.00	124,730.55	1,032,421.40	17,312.96	59,533.71	205,449.84	98,880.84	1,721,732.62
Liabilities									
Deferred Tax Liabilities	-	-	-	75,189.06	(100.14)	-	-	17,607.14	92,696.06
Future policyholders benefits	6,705.12	11,676.26	48,188.34	173,096.90	2,250.10	967.95	1,004.11	3,281.91	247,170.68
Short term loans	-	-	-	397.96	-	-	-	-	397.96
Long term Loans	-	38.34	-	-	-	-	195.05	9,840.22	10,073.60
Current Tax provisions	-	-	-	-	(804.09)	-	-	-	(804.09)
Gross Outstanding Claims	-	350.00	-	110.36	-	-	-	-	460.36
IBNR	-	-	-	-	-	-	-	97.74	97.74
UPR	66.67	-	-	-	-	-	-	-	66.67
Creditors	277.91	1,689.64	345.24	9,095.24	9,088.96	99.73	451.14	1,182.57	22,230.42
Amount due to related companies	-	-	-	-	-	-	-	-	-
Other Liabilities	-	-	1,230.86	9,786.71	390.69	-	700.08	8,689.72	20,798.06
Total Technical Liabilities/Reserves	6,771.78	12,026.26	48,188.34	173,207.26	2,250.10	967.95	1,004.11	3,379.64	247,795.45
Current Liabilities	277.91	1,689.64	1,576.11	94,468.97	8,575.42	99.73	1,151.21	27,479.43	135,318.41
Total Liabilities	7,049.70	13,754.23	49,764.44	267,676.23	10,825.52	1,067.68	2,350.37	40,699.29	393,187.46
Shareholders's Equity									
Share Capital	13.54	411.44	-	1,500.07	1,048.90	930.00	103,025.19	211.24	107,140.37
Share Premium	1,334.09	1,610.00	-	-	-	22,500.00	-	977.74	26,421.83
Revaluation & Other Reserves	5,570.70	148,081.05	111,610.22	848,723.84	430.13	9,886.30	102,298.24	36.00	1,226,636.48
Retained Profit	(1,596.70)	7,175.27	(36,644.12)	(85,478.73)	5,008.41	25,149.74	-2223.95912	56,956.57	(31,653.52)
Shareholders's Equity	5,321.63	157,277.77	74,966.11	764,745.18	6,487.44	58,466.03	203,099.47	58,181.55	1,328,545.16
TOTAL EQUITY & LIABILITIES	12,371.32	171,032.00	124,730.55	1,032,421.40	17,312.96	59,533.71	205,449.84	98,880.84	1,721,732.62

APPENDIX A4 GROSS WRITTEN PREMIUMS BREAKDOWN AS AT 31 MAR 2021																	
Name of Company	Individual Life (000)						Corporate Business (000)						Total Gross Premiums (000)				
	New Business			Recurring Premiums			New Business			Recurring Premiums							
	Mar-20	Mar-21	Change (%)	Mar-20	Mar-21	Change (%)	Mar-20	Mar-21	Change (%)	Mar-20	Mar-21	Change (%)	Mar-20	Mar-21	Change (%)	Mar-21 Inflation Adjusted	Change - Inflation Adjusted
First Funeral	3.06	37.00	1111%	5,038.78	19,371.10	284%	-	-	0%	-	23,207.45	0%	5,041.83	42,615.55	745%	12,511.91	148%
Foundation	13.57	54.14	299%	940.36	8,201.98	772%	-	-	0%	-	-	0%	953.93	8,256.13	765%	2,424.00	154%
Moonlight	502.73	1,790.01	256%	13,047.08	112,217.51	760%	-	-	0%	-	-	0%	13,549.81	114,007.52	741%	33,472.55	147%
Orchid	-	7.56	0%	5.02	47.28	842%	-	-	0%	26.37	272.61	934%	31.39	327.44	943%	96.14	206%
Passion	-	-	0%	481.54	1,516.00	215%	-	-	0%	-	7,127.22	0%	481.54	8,643.22	1695%	2,537.65	427%
Ruvimbo	156.55	1,657.82	959%	365.27	3,868.24	959%	-	-	0%	-	-	0%	521.82	5,526.05	959%	1,622.45	211%
Sunset	10.44	385.16	3590%	53.89	812.11	1407%	-	-	0%	-	-	0%	64.33	1,197.27	1761%	351.52	446%
Vineyard	72.99	157.08	115%	145.69	724.74	397%	196.87	275.06	40%	969.49	12,066.12	1145%	1,385.05	13,223.00	855%	3,882.27	180%
TOTAL	759.33	4,088.77	438%	20,077.63	146,758.96	631%	196.87	275.06	40%	995.86	42,673.40	4185%	22,029.69	193,796.19	780%	56,898.47	158%

APPENDIX A5 COST AND EARNINGS ANALYSIS FOR THE FUNERAL ASSURANCE INDUSTRY AS AT 31 MAR 2021

Co. Name	NPW (000)			Claims (000)			Commissions(000)			Management Expenses (000)			Total Costs(000)			Combined Ratio		
	Mar-20	Mar-21	Change	Mar-20	Mar-21	Change	Mar-20	Mar-21	Change	Mar-20	Mar-21	Change	Mar-20	Mar-21	Change	Mar-20	Mar-21	Change
First Funeral	5,042	42,615.55	745%	1,672.69	12,720.15	660%	1,014.93	11,624.41	1045%	1,418.70	14,390.94	914%	4,106.32	38,735.50	843%	81%	91%	9%
Foundation	954	8,256.13	765%	117.11	1,384.39	1082%	62.69	375.26	499%	1,051.73	6,001.07	471%	1,231.53	7,760.72	530%	129%	94%	-35%
Moonlight	13,550	114,007.52	741%	4,396.29	19,793.65	350%	408.55	2,115.46	418%	8,709.82	80,637.10	826%	13,514.66	102,546.21	659%	100%	90%	-10%
Orchid	31	327.44	943%	7.99	-	-100%	-	-	0%	38.37	181.00	372%	46.36	181.00	290%	148%	55%	-92%
Passion	482	8,643.22	1695%	411.20	2,592.97	531%	1.58	-	-100%	411.29	2,449.01	495%	824.07	5,041.97	512%	171%	58%	-113%
Ruvimbo	522	5,526.05	959%	82.36	350.83	326%	-	-	0%	325.99	2,568.47	688%	408.35	2,919.30	615%	78%	53%	-25%
Sunset	64	1,197.27	1761%	23.22	34.41	48%	5.40	114.84	2027%	177.14	752.34	325%	205.76	901.59	338%	320%	75%	-245%
Vineyard	1,385	13,223.00	855%	614.68	3,327.17	441%	54.80	552.65	909%	611.71	6,228.40	918%	1,281.18	10,108.21	689%	93%	76%	-16%
Total	22,029.69	193,796.19	780%	7,325.53	40,203.56	449%	1,547.94	14,782.61	855%	12,744.76	113,208.32	788%	21,618.23	168,194.49	678%	98.13%	86.79%	-11%